THE MONOPOLIES COMMISSION

Recommended Resale Prices

A report on the general effect on the public interest of the practice of recommending or otherwise suggesting prices to be charged on the resale of goods

Presented pursuant to section 9 of the Monopolies and Restrictive Practices (Inquiry and Control) Act 1948

Ordered by The House of Commons *to be printed*
10th February 1969

LONDON
HER MAJESTY'S STATIONERY OFFICE

100

6s. 6d. net

Members of the Monopolies Commission

Sir Ashton Roskill, QC *(Chairman)*

Sir Henry Hardman, KCB* *(Deputy Chairman)*

Professor T. Barna*

A. R. Barrowclough, Esq.†

Henry Chisholm, Esq., CBE

Lord Douglass of Cleveland

R. Falk, Esq., OBE

Professor H. L. A. Hart, FBA*

W. E. Jones, Esq., CBE

Sir Bernard Miller*†

R. G. Opie, Esq.

E. L. Richards, Esq., MBE, MC, TD

S. A. Robinson, Esq.*

The Hon T. G. Roche, QC

J. M. A. Smith, Esq., CBE, TD

L. H. Williams, Esq.*

Professor B. S. Yamey*

Miss M. Dennehy, CBE *(Secretary)*

---

*These members, together with L. A. Hurt, Esq., formed the group, under the chairmanship of Sir Henry Hardman, which was responsible for this inquiry.

Mr. Hurt retired from membership of the Commission in October 1968 and took no further part in the inquiry.

†*Note by the Board of Trade.* Mr. Barrowclough and Sir Bernard Miller have ceased to be members of the Commission since the Report was signed.

Contents

Introduction

1. On 17th May 1967 the Board of Trade sent to the Commission the following requirement under section 5 of the Monopolies and Mergers Act 1965:

> The Board of Trade, in pursuance of the powers conferred upon them by Section 5 of the Monopolies and Mergers Act, 1965, hereby require the Monopolies Commission to submit to them a report on the general effect on the public interest of the practice of recommending or otherwise suggesting prices to be charged on the resale of goods.

2. The Board issued a press notice inviting any person or organisation wishing to offer evidence to write to the Commission. A number of individuals, concerns and associations wrote to us in response to the notice.

3. We sent questionnaires to trade associations, manufacturers and retailers concerned with selected products; 16 hearings were held with witnesses in order to clarify particular aspects of the inquiry. We also obtained the views of certain national bodies. The evidence submitted by all these witnesses is summarised in Appendix 1.

4. We sought information about relevant legislation and national policies from the authorities in Canada, Denmark, the Federal Republic of Germany, France and Sweden. The information which they supplied is summarised in Appendix 2.

5. We conducted a survey of retail prices of certain goods by sending questionnaires to over 6,000 retailers. The results of this survey are given in Appendix 3. We are indebted to the Board of Trade Census Office for assistance in selecting the sample of retailers and in analysing the replies.

6. Information was also supplied by the Ministry of Agriculture and the Consumers' Association.

7. We wish to record our appreciation of the valuable assistance given to us by many witnesses in response to these inquiries.

Recommended Resale Prices

The Practice

8. We are required to report on the general effect on the public interest of the practice of recommending or otherwise suggesting prices to be charged on the resale of goods. This practice covers a variety of different ways of suggesting resale prices in addition to making an explicit recommendation to the reseller, the commonest being the publication of a retail price without specifying that it is recommended. Such prices may, for example, be published in the form of price lists for the use of retailers and their customers, they may be stated in advertisements, or they may be marked on the goods themselves. It is also common for list prices to be used as the basis for transactions within the trade, the actual prices charged to particular purchasers being expressed in terms of discounts off the list prices; in such cases the list prices may be regarded as appropriate prices for resellers to charge to consumers, even though the manufacturer may not describe them as retail prices or recommended prices.

9. On the other hand some manufacturers publish information about retail prices which cannot be regarded as constituting a recommendation or suggestion; they may, for example, give no price guidance to retailers but, for the benefit of consumers, publish in advertisements or catalogues information about approximate prices or ranges of prices actually charged for their products by retailers. The methods of some other manufacturers fall between this and explicit recommendation. For example, some manufacturers publish prices stated to be suggested or recommended prices which, they say, are in fact based on requests or advice from retailers. Again, some manufacturers or their representatives may give advice on pricing to individual retailers, either on their own initiative or at the retailers' request, which may be tailored to those retailers' circumstances and may not necessarily amount to the recommendation of a uniform retail price to all retailers. In some trades also, such as groceries and hardware, price guides are published independently which both list manufacturers' recommended prices and also suggest appropriate prices where manufacturers have made no recommendations.

10. There are some products which have no recommended prices; these include such commodities as fresh fruit, vegetables, meat and fish, where suppliers are numerous and branding is unimportant, and prices vary between shops and fluctuate with the working of the market. In manufactures and processed foodstuffs, however, the practice of recommending resale prices by manufacturers is widespread; it commonly accompanies the use of manufacturers' brands and indeed would hardly exist without branding. Among the trades which we have examined, for example, it is adopted universally for motor cars and parts, including tyres and accessories, and also for domestic electric appliances and for photographic goods; it applies to about 80 per cent of groceries, and to a rather higher proportion of wines and spirits, petrol and paint; in clothing, drapery and hardware the proportion varies in different lines, but prices are normally recommended for branded articles; in carpets only about a quarter are subject to recommended prices. About one-tenth of the furniture sold carries a recommended price, although nearly all suppliers issue retail price lists to retailers at their request. In some of these trades the position is complicated by the existence of retailers' own 'house brands' for which the prices are decided by the retailer, by the existence of retail outlets owned by manufacturers, and by the existence of retailers' voluntary groups in which prices are recommended by wholesalers. Resale prices are also recommended or

suggested by manufacturers for many goods which are sold by wholesalers entirely or mainly to trade users and not through retailers, such as engineering and electrical goods. In the following discussion, we usually refer for convenience only to retailers and not to wholesalers, but much of it is applicable, mutatis mutandis, to other types of reseller and to goods which are not handled by retailers.

11. The extent to which retailers follow manufacturers' recommended prices varies greatly among different types of goods and of shops. Some classes of retailers, such as chemists, ironmongers and women's clothing shops, normally follow recommended prices wherever they exist. At the other extreme there is widespread price-cutting among grocers and electrical retailers, although even in their trades it is not applied to all the goods handled and also some individual retailers normally charge the prices recommended on all goods; there are also many goods which grocers normally sell at recommended prices but sell at reduced prices during temporary promotions.

12. In many cases where prices are now recommended they were formerly fixed by manufacturers. In some the maintenance of resale prices was made a condition of sale and legally enforced; in others no formal enforcement measures were taken, but the resale prices published by manufacturers were nevertheless treated by resellers as if they were fixed. When the maintenance of minimum resale prices has become unlawful, most manufacturers have adopted price recommendation instead and it is often regarded both by manufacturers and by retailers as a substitute for resale price maintenance (though not necessarily an adequate substitute).

The Evidence

13. Since the practice is so widespread, it was not practicable to take evidence from everyone who had an interest in it. We have ourselves collected some information about retail prices (Appendix 3) and about the use of recommended prices in advertisements (Appendix 4). However, apart from the views of several generally representative trade bodies, we have relied mainly on information and views submitted to us by manufacturers, retailers and associations concerned with various classes of goods selected by us (see Appendix 1). In selecting these classes of goods we had in mind the possibility that the effects of recommended prices might differ in different circumstances, and we therefore chose goods differing in respect of importance to the consumer and frequency of purchase, of customary outlooks and practices in the trade, and of the structure both of manufacture and of distribution. We have also taken into account the evidence submitted to the Commission and the Commission's conclusions on recommended prices in the course of other inquiries, including the inquiries into the supply of petrol, household detergents, flat glass, electric lamps and clutches for motor vehicles.

14. Predominantly the witnesses who submitted evidence were those who have an interest in the practice, and it is largely their arguments in favour of the practice which we discuss in the following paragraphs. Support for resale price recommendation was far from universal, however. In the grocery trade, for example, multiple retailers were on the whole opposed to it, and opinion was divided among manufacturers—some had abandoned the practice and others said that they continued it only because they believed that retailers wanted it. Associations of retailers in certain other trades said that their members were divided on the question, but that a majority was opposed.

15. Although circumstances in each trade differ and the emphasis differs accordingly, the arguments advanced in favour of recommended prices fall under a few headings, and we have found it both convenient and also appropriate to our terms of reference to consider each main argument in turn rather than to examine each trade separately. We discuss them in the following order:

- (i) arguments which assume that resale price recommendation has the same effect as resale price maintenance;
- (ii) arguments based on advantages ascribed to recommended prices which do not depend on their acting as maintained prices. These are grouped into
  - (a) administrative convenience;
  - (b) manufacturers' marketing policies; and
  - (c) consumer information.
- (iii) We then turn to an assessment of the effect of resale price recommendation on price levels.

(i) Recommended prices as a substitute for maintained prices

16. Some of the arguments advanced in support of recommended prices make sense only on the assumption that such prices act as fixed prices and prevent or restrain price competition. Thus it has been argued that recommended prices are necessary in order to give distributors adequate margins, and that without them there would be excessive price-cutting associated with 'unethical' practices, to the detriment of 'bona fide' traders. Paint and wallpaper retailers said that this would lead to pressure on manufacturers to debase the quality of goods. The view is widely held that margins protected by recommended prices are beneficial because they enable retailers to give the public proper service. A survey conducted by the National Hardware Alliance showed that both manufacturers and retailers believed that recommended prices promoted stable trading and ensured the margins needed for the provision of services. Photographic dealers said that they would not be able to stock a range of materials if prices were not recommended. A tea manufacturer said that standards of service would fall without price recommendation, and a mens-wear retailer said that it made possible the maintenance of strict standards. In the clutches inquiry* the Commission were told that wholesalers' margins must be safeguarded to ensure that they held sufficient stocks. Other related arguments are that, if they were not protected against price competition, retailers would want exclusive designs in place of branded goods, with a consequent increase in manufacturing costs through shorter runs; and that the public have more confidence in retailers if they know that the prices of standard goods are the same in all shops.

17. All these arguments are valid only if the recommendation of resale prices in fact restrains price competition amongst resellers and keeps resellers' margins higher than they otherwise would be in the same way as the maintenance of minimum resale prices. We discuss later in what circumstances it may do so (see paragraph 61). If in respect of any product the recommendation of resale prices does act in the same way as resale price maintenance, the supplier concerned is effectively circumventing the intention of the Resale Prices Act 1964 and, unless his grounds

*Monopolies Commission report *Clutch Mechanisms for Road Vehicles*, (Sess. 1968-69 HC 32) paragraph 221. (HMSO, 12s. 6d.)

for doing so were such as to be acceptable to the Restrictive Practices Court, his conduct is 'ipso facto' against the public interest. If, on the other hand, the recommendation of resale prices does not act in the same way as resale price maintenance, arguments of the kind referred to in the previous paragraph lose whatever force they might otherwise have. We therefore consider that all arguments of this kind are irrelevant to a conclusion on the desirability of allowing resale price recommendation.

(ii) Other advantages ascribed to recommended prices

(a) Administrative convenience

18. Many witnesses argued that a ban on recommended prices would seriously add to the work of shopkeepers and other distributors. These arguments related to

(i) the calculation of selling prices in shops;
(ii) price negotiation and invoicing in distribution;
(iii) price-marking.

(a) (i) *Calculation of prices*

19. The force of the argument relating to the work of calculating prices in shops differs according to the nature of the trade and the nature of the outlet. It has little application in respect of products where retail competition has brought about widespread divergence from recommended prices so that the latter provide little or no reliable assistance to the retailer in his pricing. He has to decide on the selling prices of such products in the light of the particular circumstances in which he is competing and in accordance with his trading policy. This general consideration apart, the argument has least application where the individual articles are large in value in relation to the shop's total stock, e.g. consumer durables, where the cost of pricing cannot be high.

20. At the other extreme are trades where goods are individually low in price and where each retailer keeps a large range of stock. We were told, for example, that hardware covers some 20,000 different items (including each size and variety of screw, etc.), of which from 2,000 to 4,000 may be kept in stock in an average ironmonger's shop.* The problem may be aggravated for the shopkeeper by invoices arriving only after the goods themselves are delivered. We were told that it was far beyond the abilities of the individual ironmonger to pursue a rational pricing policy without the assistance of recommended prices. Vehicle spares present a similar problem, and to a lesser extent the same considerations apply to groceries. We were told that many small grocers would be quite unable to price their stocks without assistance, and that in the absence of manufacturers' recommended prices they commonly seek advice from their wholesalers. Moreover both in grocery and ironmongery small retailers are assisted not only by manufacturers' recommended prices, which cover only part of the range of goods, but also by independently published price guides. These suggest retail prices for all goods whether or not the manufacturers have made any recommendation.

21. Retailers are helped in many cases by the use of catalogues and retail price lists supplied by the manufacturers, especially for goods, such as china, which come in a wide range of sizes and varieties, and where the goods are sold both in sets and by the piece. For some articles it is not economic for individual retailers to keep the

---

*An ironmonger employing one assistant told us that he received 8-12 invoices a day covering some 50 items, of which 10-12 were likely to be new prices, i.e. new items or changed prices of existing items.

full range of possible sizes in stock; sales are made from the catalogue and deliveries are made by the manufacturer as required. It would be possible for catalogues to be produced with trade prices only, but it is argued that the retailer would then have to calculate all resale prices and might himself have to produce price lists to give to customers and that this would add to his costs.

22 Some furniture manufacturers give retailers the convenience of printed price lists without themselves recommending uniform retail prices. They produce price lists at the request of any particular retailer based on a retail margin specified by that retailer. In principle this practice appears to avoid possible objections to manufacturers' recommended prices, and some retailers attach importance to its being permitted. On the other hand where, as in the furniture trade, retailers almost universally apply the same standard mark-up and the price lists are prepared on this basis, the provision of such lists may facilitate uniform pricing among retailers just as much as would a positive price recommendation.

23. Where retailers would, on the face of it, be put to additional trouble in pricing complex ranges of goods if prices were not recommended, it does not follow that the public interest would thereby suffer materially, if at all. Retailers and manufacturers would search for ways of avoiding or reducing inconvenience and cost to themselves.

24. It was put to us that it was positively undesirable for retailers to have recommended prices on which to rely for their pricing decisions—that the practice was an encouragement to the 'lazy' retailer, and diverted his attention from the need to develop his own pricing policy in which prices were more closely related to his costs and opportunities. This view implies that the abolition of recommended prices would bring about an increase in the efficiency of retailers. It is possible that some individual retailers might make a greater success of their business if they tried to develop an independent pricing policy, relying less on recommended prices. In some cases competition will be sufficient to ensure that any retailer who does not pay enough attention to the efficient conduct of his business is likely ultimately to lose it, whether or not the practice of recommending resale prices continues. Where the stimulus of competition is lacking, however, it is doubtful whether the mere banning of price recommendations would make much difference to the business attitudes and efficiency of retailers.

(a) (ii) *Price negotiation and invoicing in distribution*

25. The argument that recommended prices are a material convenience in the work of sales negotiation and invoicing in the course of distribution applies more to some trades than to others. In some, where the range of goods is not particularly wide, there is no difficulty for the manufacturer to sell to his immediate customers at net prices (which can vary according to the type of customer, the size of order, etc.), leaving those customers to calculate their resale prices by adding whatever mark-up each considered appropriate. If, however, the range of items being sold to each customer is wide and if different prices are charged to different customers (e.g. according to the quantity taken), it is a convenience to be able to use standard list prices to which an appropriate discount can be applied in each case. The prices to a particular customer can then be expressed simply in terms of this discount, without having to consider the price of each item separately, and invoices can be made up with standard list prices, the discount being applied to the total. The advantages of this method of trading were emphasised, for example, in respect of electric lamps, paint and engineering goods.

26. The list prices used as the basis for this method of price quoting and invoicing are usually retail prices, and whether or not they are specifically stated to be recommended prices they are normally treated as such. However, in most cases there is no necessity for retail prices to be used as the starting point for discount pricing, because the convenience of such pricing arises in sales to wholesalers and to retailers (and analogous categories such as contractors and large trade users), and it is not normally used in selling by retailers, with a few exceptions such as tyres. There would therefore be no loss of convenience if the list price used were a basic trade price, which might for example be the manufacturer's price to retailers or to the smallest purchasers with direct accounts.

(a) (iii) *Price-marking*

27. Finally, we were told by both manufacturers and retailers in the grocery trade that the marking by the manufacturer of prices on the goods themselves represented a substantial saving of the retailer's time. This argument applies mainly to self-service stores, in which all goods have to have their prices marked on them before they are put on display, but we were told that price-marked packs were also welcomed by counter-service stores as a means of ensuring that correct prices were charged.

28. This argument assumes that the recommended prices are substantially followed; obviously if a retailer proposes to sell at a different price there is no saving in having the manufacturer's recommended price marked on the package. A limited survey of prices of selected products in a few grocery shops in one shopping centre showed that there was in fact much greater compliance with recommended prices in those goods which were price-marked than in those which were not.

29. We were told by some supermarket operators that the saving through not having to mark the price on goods by hand was substantial. However, apart from the perishable goods discussed in the next paragraph, we doubt whether this can be an important consideration for the majority of supermarkets and self-service stores. Only a proportion of groceries are in fact price-marked by the manufacturer; the rest have to be marked by hand in a self-service store, and even for those which are marked by the manufacturer a decision has to be taken whether to charge the manufacturer's price or to alter it. The additional cost if none were marked by the manufacturer could scarcely be significant. Indeed one supermarket chain told us that it marks its own prices on all goods whether or not they already bear a manufacturer's recommended price and whether or not it follows that price.

30. We were told that special considerations applied to certain perishable goods, such as bread, cakes, sausages and meat pies. Such goods are delivered to retailers daily for sale the same day, and there is therefore a problem in getting them price-marked and on to the shelves quickly at the beginning of the day. This is particularly important with goods such as sausages which are kept under refrigeration. Manufacturers are therefore pressed by retailers to mark resale prices on the goods before they are supplied, and many of them now do so.

31. Certain manufacturers of perishables told us that the prices which they marked on their products were based on what retailers generally considered to be appropriate, and did not represent a recommendation by the manufacturer. Such prices in principle need not be uniform, and a different price could be marked at the request of a particular retailer. We were told however that this would create difficulties in the factory. It might also cause higher wastage in distribution because

manufacturers make daily deliveries without knowing in advance the exact quantity required by each retailer; at present if one retailer's requirement is less than expected the surplus may be taken up by another retailer on the same van round, but this might be impossible if there was special price-marking for each retailer. Because the additional costs resulting would have to be passed on to the retailer, we were told, it was unlikely that any retailer would insist on having a special price marked.

32. In the limited inquiry mentioned in paragraph 28 we found that conformity with the suggested prices on such perishable goods was greater than on other price-marked goods. One manufacturer said that this was because the margins provided by the recommended prices were low and, with daily direct deliveries to most shops, there was little difference between the costs of supplying different kinds of retailer and hence little difference in their buying prices.

33. We are not convinced that, if manufacturers were not permitted to recommend or suggest prices, the problem of price-marking even perishable goods in self-service stores would be serious. There might be a certain amount of inconvenience and extra work; but this is not inevitable because it appears that many retailers in any case take the precaution of putting some form of date-coding on some perishables and price-marking could be done simultaneously. One witness said that this is done at no additional cost.

34. Our conclusions on the arguments relating to administrative convenience and costs are, first, that in wholesale distribution the use of pricing in terms of discounts is a material convenience in trades handling a large range of different items; the quotation of discounts is, in effect, a convenient method of price quoting, and of competing in price. But it does not depend on the recommendation of retail prices. Secondly, in retailing the argument about administrative convenience is of little significance for goods where there is widespread departure from recommended prices. Thirdly, for some goods where the range of items handled is large and where recommended prices are generally followed, a ban on recommended prices could impose additional work on retailers. This could cause additional costs. In general we doubt that the increase in costs would be important; but in some trades the additional work might cause special difficulty for small shopkeepers.

(b) Resale price recommendation and marketing policy

35. Manufacturers in a variety of trades told us that they attached importance to recommended prices as a constituent of their marketing policies. They were not unanimous on the point and both opinion and practice varied even within the same trade. Those who advanced the argument, however, regarded the possibility of informing consumers directly of the recommended prices of their products as an important means of competing with rival products.

36. One aspect of this argument was that consumers expected price to be included in the information conveyed by advertisements, and that if recommended prices could not be mentioned the force of advertising in respect of branded goods would be weakened. This point was emphasised, for example, by manufacturers of domestic electrical appliances, cars, clothing and hand tools.

37. An examination which we made of advertisements in the press (see Appendix 4) shows that the mention of price is far from universal even among the manufacturers who put these arguments to us. It is evident that a number of brands are promoted to the public without quoting specific retail prices, but manufacturers

have explained that the basis of their promotions varies from time to time and they think it important to be free to use price when they wish.

38. The ability to advertise recommended prices is of more value to a manufacturer if there is substantial conformity with the prices among retailers. The greater the divergence from the recommended price, the less useful it becomes to advertise it; it may then become preferable, from the manufacturer's point of view, to advertise actual or approximate ruling prices in the shops. On the other hand, there can be circumstances in which, as in the sale of motor cars, although retail sales are often made at less than the recommended price, the recommended price serves as the starting point for negotiating a deal, and the advertisement of recommended prices is still of value in the competition between different manufacturers' models.

39. Another aspect of price recommendation in marketing is that some manufacturers consider it necessary to try to exercise some influence over retail prices, at least to the extent of seeking to impose an upper limit, in order to achieve a required level of sales for their products and to make price competition with other manufacturers effective. They are entitled under the Resale Prices Act 1964 to prescribe maximum prices, but few manufacturers do so; many, however, told us that recommended prices acted as maximum prices because retailers did not feel able to charge more than a recommended price that might be known to consumers. (Our own inquiries indicate that recommended prices are seldom exceeded–see Appendix 3.) Resale prices are therefore often recommended with the intention that they should not be exceeded. If, for example, a manufacturer seeks to promote sales by reducing price he may wish not only to advertise the reduction, in order to bring it to the attention of potential purchasers, but also to make sure that retailers do in fact pass on the price reduction to the public; this consideration is likely to be operative especially where price competition in retailing is weak or absent. One of the major petrol companies told us that if it could not ensure that its dealers would reduce their prices the incentive for it to compete in price would be reduced. An association concerned with electrical appliances argued that manufacturers needed to ensure that resale prices did not rise above the intended level in order to maintain the demand for which production was planned.

40. It has also been argued that inability to recommend retail prices would cause particular difficulty upon the introduction of a new product. It is said that it is important in introducing a new product to the public by advertisement to be able to provide information about price, and in this case there is no ruling price which could be quoted as an alternative to a recommended price. In addition some manufacturers want to be able to indicate to retailers how they expect the new product to be priced in relation to existing products (and this relationship could be relevant whether the recommended prices were generally followed or not). One manufacturer who has abandoned the general use of recommended prices said that he still found it necessary to indicate 'the approximate area of pricing' for new products. We were told of one case in which a manufacturer of consumer durables had decided to introduce a new model without recommending the price; retailers had then priced it substantially higher than the manufacturer had expected, and sales had been disappointing. A manufacturer of a low-priced brand of petrol said that the recommendation of retail prices had been essential to his strategy as a newcomer for winning a share of the market.

41. A special case of alleged need for recommended prices in marketing has occurred as a result of the Trade Descriptions Act 1968, and several manufacturers

who had formerly discontinued recommended prices have decided to reintroduce them. These manufacturers use the technique of temporary price promotions, under which they reduce their wholesale selling prices and mark their products with the amount of the reduction ('3d. off') in order to ensure that the retailer also reduces his selling price by the same amount. Retailers have complained that in handling goods marked in this way they will be put to trouble to avoid infringing section 11 of the Act, which is directed against certain false price comparisons. To meet this complaint the manufacturers have reintroduced recommended prices in order to provide retailers with the defence that the price reduction marked on the product is a reduction below a recommended price.*

42. From these various examples it appears that in some circumstances recommended prices can serve as an instrument of competition between manufacturers, and some manufacturers evidently attach importance to them as a means of promoting sales. Where the practice is used in this way the effect on the public interest is likely to be beneficial rather than the reverse, in so far as it may tend to hold prices down. In several of these examples the use of recommended resale prices is intended directly to keep resale prices lower than they would otherwise be in circumstances where competition among retailers is weak or absent. However, a ban on resale price recommendation would have little if any impact in these respects in circumstances where price competition among retailers is active. Here the question is whether there are grounds for interfering with manufacturers' freedom to use price recommendation as one of the ingredients of their marketing policies. Later we discuss marketing considerations which may lead manufacturers in competing for business to use recommended prices in ways that keep resale prices up (see paragraphs 53, 54 and 61).

43. Price recommendation is also regarded as an important marketing technique by voluntary groups (see Appendix 1, footnote to paragraph 68). A number of these groups exist in the grocery trade, for example, in order to give small independent grocers the advantage of bulk purchase. In order to compete effectively with the multiples such groups co-ordinate their pricing tactics; for this purpose the majority of prices may be left to the individual retailers, but the wholesalers in the groups recommend regular temporary price reductions on different groups of items (usually fortnightly promotions) and support them with printed display material. The wholesalers also, as a rule, recommend the retail prices of the groups' own 'house brands'. These groups consider that their ability to meet the competition of multiples would be weakened if they were not allowed to recommend prices. Price recommendation in such groups differs from that practised by manufacturers. In each group it is directed at only a minority of the retailers handling the particular classes of goods (and the retailers in a group are not normally in competition with one another); the wholesalers are producing market information and advice on pricing tactics, and their role resembles that of the central pricing organisation of a multiple retailer.

---

*Under section 11 it is an offence to give a false indication to the effect that the price at which goods are offered for sale is less by a specified amount than the price at which goods of the same description were previously offered by the seller. In this context an indication that the seller previously offered the goods at a higher price or at a particular price is to be taken to mean that he did so for a continuous period of not less than 28 days within the preceding six months, unless he makes it clear that he is referring to his price at some other time. If it was not specified as referring to a recommended price or to some other price, a '3d.off' marking would be taken to be such an indication, and the retailer would need to be able to show evidence of a higher price charged for the period specified.

(c) Consumer information

44. The arguments which we have discussed so far have been concerned directly with the interests either of retailers or of manufacturers (although if recommended prices lead to more effective marketing, lower costs or lower prices there should be some benefit to the consumer). In addition a number of witnesses have argued that recommended prices are of direct value to consumers. Several different grounds were put forward for this argument. In considering each of these grounds it has to be borne in mind that they can be valid only to the extent that consumers are in fact made aware of recommended prices. This can be done by advertisements or price lists, or by marking prices on the goods themselves. In many cases, however, no effort is made to bring the recommended price to the attention of consumers, and even where prices are advertised it is still possible for consumers not to be aware of them. In so far as the argument is valid, therefore, it is of limited application.

45. One point made to us was that a manufacturer's recommended price gives the consumer an indication (or even an 'assurance') of quality. The thought appears to be that the recommended price indicates how the manufacturer himself believes his product to compare in value with rival products. In some special cases, such as garments, it is said that differences in quality may not otherwise be immediately apparent. In our view the consumer would be unwise to assume that there is any necessary relationship between quality and manufacturers' recommended prices. Moreover consumers do not appear to have any greater difficulty in judging quality where prices are not recommended and, in any case, a price put on an article by a retailer may be just as good an indication of value as a recommended price.

46. It is also argued that the manufacturer's recommended price is useful to the consumer in indicating whether he is getting a good bargain from a retailer; in other words, it is a means of judging the prices charged in the shops. For this purpose, however, the recommended price is in many cases of doubtful value, and may be misleading. A manufacturer's recommended price does not necessarily show that the price charged by a particular retailer is an attractive one; the test of this is whether better prices are being offered by other retailers, and the existence of a recommended price does not save the consumer the trouble of trying a number of retailers if he wants to be sure of getting the best price. If the recommended price is one which is seldom if ever charged by any retailer, then it can be positively misleading to the consumer as a basis for judging the price in a particular shop, by leading him to think that he is getting a better bargain than he really is. On the other hand there may be circumstances in which a manufacturer's recommended price is a safeguard against deceptive price offers; we were told for instance that in the tyre trade the multiplicity of types would make it easy for an unscrupulous dealer to mislead the purchaser about his prices if manufacturers' price lists were not readily available. Comparison with prices charged by other dealers would be a more reliable safeguard, but the price list has some value as an independent standard for comparison. In the United States it was at one time a practice among car dealers to offer high prices for old cars traded in, so as to attract customers, and at the same time to inflate the price of the new car being sold in exchange; to prevent this abuse an Act of 1958 required manufacturers to mark the recommended price on the car itself.

47. It is also said that manufacturers' recommended prices assist the consumer by enabling him to select the goods he is interested in and to compare the merits of rival products without having to visit a number of retailers to find out the prices

being charged. This argument applies mainly to relatively expensive goods such as furniture, electrical appliances, motor cars, etc. Thus the prospective purchaser of a motor car can, by reference to recommended prices, pick out the models in the price range he can afford, and compare them on the basis of their relative merits, including price. Having decided on a model, or narrowed down the range of choice to a few, he can then shop around among dealers to find the lowest price. In respect of goods of this kind customers seem to expect to be given an indication of price in advertisements, and we were told by some manufacturers that customers frequently write to them for price lists.

48. We accept that for some goods it is of some assistance to consumers if manufacturers give an indication of resale price. Recommended prices are convenient for this purpose where there is substantial conformity with them, but less so where there is widespread divergence, in which case recommended prices might mislead the shopper. (The possibility that recommended prices may mislead is further discussed in paragraph 70.) It may be more helpful to give an indication of approximate prices or price ranges ruling in the shops. This course would in fact be generally open to manufacturers even if they were not permitted to recommend resale prices, and it is already followed by, for example, some manufacturers of furniture and carpets. It is doubtful therefore whether the public would suffer any inconvenience if resale prices were not recommended.

(iii) Effect of resale price recommendation on retail price levels

49. The most important issue in considering the effect of resale price recommendation upon the public interest is the effect which the practice has on actual price levels. We heard conflicting views on this from various witnesses. As we have shown in paragraphs 16 and 17, some of the arguments put forward in support of price recommendation assumed that its effect was to restrain price competition and therefore keep prices up. Some dealers who criticised the practice also said that prices could be expected to fall, on average, if retailers were left to decide their own selling prices without any suggestion from manufacturers. Conversely some manufacturers expressed the view that retail prices of their products would rise if there were no recommended prices to safeguard the public (see paragraphs 39-42).

50. It is difficult to find any concrete evidence of the effect which recommended prices actually have on price levels. In almost all cases where manufacturers have abandoned the practice, prices lower than the recommended prices had already become widespread and the withdrawal of the recommended prices could not therefore be expected to make any difference, especially where the former recommended prices continued to be published in independent price guides for retailers.

51. We carried out a survey of retail prices charged for certain goods in order to investigate some effects of manufacturers' recommendations (see Appendix 3). In this survey more than half the reported prices for the recommended-price group of goods were at the recommended price; in the group for which manufacturers did not recommend prices there was, on average, much less concentration on any single price. It also appeared that a recommended price led to a less symmetrical distribution of actual prices, with relatively few above the recommended price. It cannot, however, be deduced from this whether average prices would be higher or lower in the absence of a recommendation. A survey of this kind can throw no light on the effect on average price levels because, even if in some trades pairs of similar items can be found, one with and one without a recommended price, one may not

draw conclusions about the effect of the recommendation since competition is likely to make the prices charged for the two items converge (see paragraph 8 of Appendix 3).

52. In the absence of direct statistical evidence of the effect of recommended prices on average price levels, we examine, first, the considerations which are likely to affect manufacturers in their choice of the resale prices to be recommended and, secondly, the ways in which recommended prices may affect retailers' pricing.

53. Manufacturers' interests in the resale prices of their goods are broadly of two kinds. First, manufacturers are to some extent, which varies among products, reliant. on retailers for promoting the sale of their goods, and their sales would not be helped by recommending such a low retail price that, although it was attractive to consumers, retailers were not interested in handling the goods. This is clearly an important factor in the minds of many manufacturers, not only those who argue that adequate margins must be given to ensure adequate service etc, but also those who say that they recommend prices only because retailers want them to do so, and those who recommend prices which give retailers a percentage margin traditional in the trade. In these circumstances manufacturers may tend to pitch their recommended prices high enough to provide margins attractive to retailers in general, including those with relatively high costs.

54. This process is accentuated where manufacturers of rival products compete for the sales support of retailers by offering them the possibility of more attractive margins. This type of margin competition is especially likely where retailers are free to handle any one or more of a number of competing brands, and where the availability and visibility of the brands in shops, and the active intervention of the retailers, are important influences on consumers' choices. It may lead to recommended prices being set high deliberately so as to provide attractive margins for the retailer. Where such recommended prices are adopted or followed by retailers, it may bring about a situation in which the number of retailers handling the products in question may be larger than otherwise.

55. Secondly, however, manufacturers do not want retailers to set prices to the public so high that sales suffer (if the resale price which is best for the retailer is higher than that which is best for the manufacturer). Some manufacturers, as we have shown in discussing marketing, put this forward as a reason for recommending prices especially when breaking into a market or introducing a new product (see paragraphs 39 and 40). Others have said that they are often pressed by dealers to allow higher margins and they therefore believe that higher margins would be taken if prices were not recommended.

56. We next discuss how the existence of recommended prices affects retailers' pricing. We deal first with products in which there is widespread departure from the prices recommended, as for example in the case of many grocery items and electrical appliances. In such cases the recommendation of resale prices plainly does not inhibit competitive price-cutting. Indeed the point was made to us that the existence of a recommended price could intensify price competition by acting as a 'benchmark'; in other words retailers were encouraged to compete in price because the comparison with a recommended price gave them an effective way of publicising their price cuts. One association of retailers argued that the practice was undesirable because, in this way, it encouraged retailers to lay disproportionate emphasis on price at the expense of other aspects of service.

57. There are evidently circumstances in which it is more effective to advertise a price cut than an actual price. Where price-cutting is general, however, such comparison with the recommended price becomes uninformative, if not misleading, and it is the actual retail price which is important to the purchaser. Where the price is a major factor for the consumer he is likely to compare prices in different shops; alternatively regularity of purchase of a standard article may familiarise him with the ruling price or range of prices. In such cases, although cuts from recommended prices may still be advertised, the technique is of doubtful importance. It is possible, however, that having a recommended price for comparison may be a more positive encouragement to price competition in a fluid market situation before a ruling price or a range of prices has become established, for example in the initial period after the withdrawal of resale price maintenance or where only a minority of retailers are competing in price. Once retail prices have settled at a new lower level or range determined by competition, we think it makes no difference to that level whether there is a recommended price and whether it is in fact used by retailers for comparison with their own prices in their advertisements.

58. In most products in which departure from the recommended prices is widespread there are still at least some retailers who charge the recommended price. If they are able to sell at this price they are presumably insulated in some way from the competition of the price-cutting retailers. They may, for example, be geographically isolated or they may be offering additional services which customers are prepared to pay for. In following the recommended price such retailers are charging a price selected by the manufacturer, and if there were no recommendation they might themselves have chosen different prices. It is possible that these different prices might be either higher or lower than the recommended level, depending on the considerations discussed in paragraphs 53-55. The probable outcome is similar to that in respect of products where there is little or no departure from recommended prices (see paragraph 60).

59. We turn now to products in which there is little or no departure from recommended prices. Various factors may contribute to the absence of price variation. For example:

(i) The number of outlets may be limited. This may result from manufacturers' policies, e.g. of granting franchises on an area basis, or using only selected outlets, or confining sales to a particular class of outlet. Or numbers may be limited by external factors such as licensing regulations.

(ii) All the retailers concerned may be similar in type and in outlook, with similar cost structures and business objectives and policies. There may be pressure on retailers from other retailers not to cut prices.

(iii) The nature of the goods may be such that price is not a principal selling point in competition between retailers; this may be so where the goods are of low unit value in relation to consumers' expenditure and are infrequently purchased, or where design, style or variety offered by the retailer are more important.

60. In such circumstances retailers are unlikely to be disposed to engage in price-cutting. The recommendation of a resale price signals to them the price which each can charge in the expectation that others will be charging the same and that the costs of all retailers will tend to be adjusted to the margin included in that price. Convenience and the continuation of habits followed under a preceding period of resale price maintenance are likely to reinforce the adoption by each

retailer of the recommended price. If, on the other hand, no resale price is recommended, each retailer has to make his own price and to adjust it in the light of what others are doing and of consumers' reactions. It is unlikely that this process of individual pricing and price experimentation would lead to exactly the same pattern of resale prices as under a regime of recommended prices. Prices would almost certainly be less uniform. As to the effect on the average level of prices, the matter is more complicated. The important point is that, in the circumstances under discussion, manufacturers can influence the level of resale prices through the practice of recommending resale prices. As we have seen (paragraphs 53-55), in some cases the manufacturer may recommend higher resale prices than might otherwise be charged, and in others he may wish to keep them lower. We incline to the view that in the circumstances under discussion the former type of case is the more common in practice, and that the practice of recommending resale prices therefore on balance is likely to keep prices higher rather than lower. Further, in so far as resale price recommendation unintentionally encourages inertia and discourages price experimentation by individual retailers, it may serve to restrain the development of retail price competition and changes in the structure of retailing.

61. Where the manufacturer wishes to prevent or restrict competition among the retailers handling his goods for reasons familiar from the debates on resale price maintenance, recommended resale prices may sometimes serve his purpose more directly. There may be pressure on retailers not to sell below the recommended prices. This may take the form of pleas from manufacturers' representatives for the retailer not to 'rock the boat'. Or the retailer may fear, rightly or wrongly, that his supplies of the goods may be imperilled if he should sell below recommended prices. Such fears may appear to be the more real where the manufacturer in question is in a dominant position in the supplying industry, or where he sells through tied outlets, or where some outlets are owned by him. It is evident from the views put to us by some manufacturers and some retailers that the motive for resale price recommendation sometimes is the avoidance or moderation of price competition among retailers. While the practice cannot always achieve this purpose, it may sometimes contribute to its achievement; and resale prices will then tend to be higher than otherwise. A ban on resale price recommendation may not, however, be enough in all cases to bring about price competition in retailing. For example, the deliberate limitation of outlets by the manufacturer may by itself serve to prevent or restrict retail price competition, although perhaps not quite so effectively as when accompanied by resale price recommendations.

62. We have also considered the effect of recommended prices when manufacturers change their prices. We consider the matter in the currently more common situation when manufacturers raise their trade prices.

63. It has been suggested that it is the common practice, with resale price recommendation, for the percentage retail margin in the recommended prices to remain the same when manufacturers raise their prices. To the extent that this is so, the margin element in recommended prices in cash terms (so much money per unit) would increase as manufacturers' trade prices increase even though there may have been no change (or no corresponding change) in retailers' costs. However, it does not follow that resale prices actually charged and margins received would be higher than they would be in the absence of price recommendations. Retailers may also price in terms of standard mark-ups, so that their cash margins per unit would rise with increases in trade prices. They may not use the same mark-up as the price-

recommending manufacturer would use; it could be either higher or lower, for reasons which we have already discussed (see paragraph 60). It is difficult to say whether retailers, on balance, would be more anxious to avoid sudden large increases in their selling prices than manufacturers in making changes in their recommended resale prices. Moreover, although in some trades the margin element in recommended resale prices is likely to be kept as a constant percentage (see National Board for Prices and Incomes Report No.55, 'Distributors' Margins in Relation to Manufacturers' Recommended Prices'), this practice is not invariably followed. In petrol, the margin element in recommended prices is generally kept at a constant absolute level when trade prices change. Again, an examination which we made of the changes in percentage margins provided by recommended prices for some groceries and toiletries for which prices were increased in 1968 showed a wide variation, some remaining constant, some being increased and others being reduced.

64. We cannot therefore conclude that price increases are either always accentuated or always moderated by the practice of recommending resale prices. The effect may be in either direction, depending on the circumstances of the trade; for the reasons given in paragraphs 60 and 61 we think that it is likely to be more often upward than downward in the circumstances specified in those paragraphs.

65. Finally, we have considered the effect of independently published price guides upon price levels. Several such guides are published for groceries and hardware; some merely list manufacturers' recommended prices, but others (such as Shaw's Guide for groceries–see Appendix 1, paragraph 81) suggest retail prices also for goods on which the manufacturers do not recommend prices. We were told that such guides were widely consulted by small shopkeepers. We would expect that the prices suggested in these guides would have a similar effect on prices actually charged by those who consult them as have resale prices recommended by manufacturers. Although the evidence is not conclusive, our prices survey (Appendix 3) suggests that unaffiliated independents follow the prices in Shaw's Guide to a greater extent than do other categories of retailer. (It is conceivable, on the other hand, that price guides may often reflect the most common prices charged by small shopkeepers.) As in the cases discussed in paragraph 58, the price levels resulting in the shops which follow such guides, in principle, could be either higher or lower than those which would result from independent pricing by the retailers. However, in some cases the prices suggested in guides appear to be the prices (adjusted for subsequent changes in the manufacturers' wholesale prices) that were formerly maintained or, after the termination of resale price maintenance, recommended by manufacturers. If in such cases the former manufacturer's price was one of those which led retailers' prices to be higher than they would otherwise have been, that effect may be continued (in some shops) by the appearance of the same price (or a price calculated to give the same percentage margin) in a price guide.

66. Our conclusion on the effect of resale price recommendation on price levels is as follows:

(a) Recommendation of a price leads to a greater price uniformity.
(b) Where there is widespread departure from a recommended price its effect is unimportant.
(c) Where a recommended price is followed the resulting price level may be either higher or lower than would obtain without a recommendation. We think that the number of cases in which prices will be higher is likely to to be significant.

(d) The recommendation of resale prices especially in conjunction with other factors, such as restriction of outlets, tied outlets or monopoly in the supplying industry, may prevent price competition in retailing. In such cases price levels are likely to be higher than they otherwise would be.

(e) Recommended prices are sometimes used in circumstances in which price competition among suppliers is promoted, e.g. by a new supplier upon his entry. In such cases prices may be lower than they otherwise would be (see paragraph 55).

The Public Interest

67. In order to assess the effect of the practice of recommending resale prices upon the public interest we have examined how the practice may effect actual prices and we have also discussed the various advantages which manufacturers and traders believe the practice to have. We have concluded that, although the effect of the practice on price levels is often unimportant, and in some cases price levels might be higher in the absence of recommendations, there are substantial areas in which prices could be expected to be lower; moreover in some instances the practice operates to restrict retail price competition so that prices are higher than they otherwise would be and beneficial changes in the structure or methods of trade may be inhibited. As regards the various advantages claimed for the practice, both manufacturers and dealers in some trades find it convenient, and on some goods recommended prices are also a convenience to consumers. To this extent the public interest may benefit in some cases, but we do not regard such benefit as of great importance.

68. Thus the effects of the practice on retail prices and the relevance of the arguments advanced in its favour differ in different trades, and the balance of the effect on the public interest differs accordingly. In some cases the practice is likely on balance to be beneficial, in others it is likely on balance to be harmful. We therefore do not recommend that the practice should be banned in all circumstances.

69. We do however consider it desirable to make sure that there is no misunderstanding about the status of recommended prices. We have seen signs of confusion about it in certain trades, especially those where the ending of resale price maintenance was not marked by any clear change of practice. In some trades resale prices were never legally enforced, although it was generally assumed by traders that the prices were maintained prices. When resale price maintenance became unlawful, therefore, no change had to be made in the manufacturers' conditions of sale and, unless manufacturers have made a point of specifying that prices are only recommended or suggested, there is a tendency for retailers and their customers to continue regarding prices published by manufacturers as fixed, or at least as being the proper or normal prices. To avoid any doubt there would be advantage in requiring manufacturers to specify on every occasion when they publish a recommended price, whether in advertisements, in price lists, or on the goods themselves, that the prices are only recommended or suggested, indicating or implying that retailers are free to charge lower or higher prices. Such a requirement is imposed in Germany and Sweden.

70. At first sight there is some attraction in the suggestion made by the Consumer Council that a term like 'maximum recommended price' should be used, on the ground that it would give a clearer indication to consumers that prices were

not fixed and that lower prices might be available elsewhere. The obligatory use of this terminology, however, would make it even more difficult (than with the use of the terms 'recommended' or 'suggested' prices) for a retailer to charge prices above those recommended. While this would ordinarily operate in the public interest, in certain probably rare circumstances (in sparsely populated areas, for example) the availability of goods in shops might be reduced, to the detriment of the public interest. A similar consideration could apply where a retailer provided an especially high level of retail service (in respect of range of merchandise stocked, quality of advice and personal service) for which there was customer demand but which could not be provided at the recommended prices. Moreover, with considerations such as these in mind, a manufacturer would be inclined to recommend a higher price if it was to be described explicitly as a maximum than if it was not. We therefore think it preferable to require the use of expressions such as 'recommended price' or 'suggested price' rather than 'recommended maximum price' or 'maximum recommended price'.

71. The question remains whether it would be desirable to provide for any action against the use of recommended prices falling short of a complete ban. Among the countries whose legislation we examined (see Appendix 2) most have not taken any action against recommended prices. In Germany, however, recommended prices are subject to supervision and have been banned in one or two cases where the price recommended was higher than the prices generally being charged by retailers, the grounds being that such recommendations are misleading and that, in so far as some retailers are likely to follow any recommended prices even though they are excessive, their tendency is to raise prices unjustifiably. In France power to ban recommended prices was taken in 1967, but has not so far been exercised. We were told that the intention was to prohibit recommended prices set at artificially high levels for the purpose of enabling retailers to attract customers by dramatic discounts, and that the legislation had already had a deterrent effect. In the United States the Federal Trade Commission has issued 'Guides against Deceptive Pricing' which define the circumstances in which a manufacturer's recommended price, or its quotation by a retailer, may be regarded as deceptive or fictitious.

72. There are various circumstances in which it would be in the public interest to ban recommended prices. One example is that of misleading recommended prices. We heard it alleged that recommended prices were deliberately set at a high level in order to enable retailers to show large price cuts, but we did not find evidence that such a practice was common. However, in some trades competition among retailers has in many places established market prices for goods well below the manufacturer's recommended price. (This is apparent, for instance, with some electrical appliances.) Some members of the public may tend to regard a recommended price as the normal selling price. If therefore the manufacturer continues to publish a recommended price which is widely divorced from actual prices in the shops, or if the retailer relates his selling price to a recommended price which is seldom or never charged in his trading area, the effect is likely to be to mislead. This state of affairs may be aggravated by a form of margin competition, where retailers are competing by means of price reductions announced off recommended prices and they press their suppliers to allow larger discounts to them; in order to do so without reducing their net prices the manufacturers may raise their recommended retail prices. It is possible too that section 11 of the Trade Descriptions Act 1968 may encourage the appearance of recommended prices which are higher than the prices charged by the majority of retailers.

73. Where there is widespread divergence from the recommended price, it could do little harm to the manufacturer's interest to abandon the practice (although he might have to make changes in his sales procedures if he uses the retail price as the basis for discounts to traders). Moreover the advantages to the trader and the consumer claimed for recommended prices generally carry least weight in trades where divergence from recommended prices is widespread. There is therefore likely to be little case for the retention of recommended prices in such circumstances, and from the consumer's point of view it would be better to dispense with them.

74. The other circumstances in which it may be desirable to ban recommended prices are more difficult to identify but are of greater economic importance. These are circumstances of the kinds discussed in paragraphs 59-61. Where it can be shown that the recommendation of resale prices, whether or not in conjunction with other restrictions, is being used as a substitute for resale price maintenance in order to restrain price competition and to keep prices higher than they would otherwise be, prima facie it would be in the public interest to ban the practice and also, if possible, any other measures which serve to support it. In other instances, although it cannot be shown that prices are being recommended for the purpose of restraining competition among retailers and keeping prices up, the effect, as we have said in paragraph 60, may nevertheless be that the resulting retail prices are higher than they otherwise would be. Where it can be shown that this was so in any particular case, and if the convenience and other specific arguments were insubstantial, it would be in the public interest to ban the recommendation of resale prices for the products concerned.

75. In cases of either of the types referred to in paragraph 74 it is likely to be in the public interest for the reasons given in paragraph 65 not only to stop the manufacturers concerned from recommending resale prices but also to ban the suggestion of resale prices in independently published price guides. There would, on the other hand, be no objection to the publication of guides giving information about prices currently and generally being charged by retailers.

76. Decisions on all these cases could be taken only after investigation of the trade. In those cases where the objection to recommended prices is that they mislead consumers because they are not generally charged, investigation would perhaps not need to go into great detail; it might be sufficient to establish that there was no overriding argument for retaining the practice. Where the recommended prices are generally followed, however, it would be necessary to investigate in more detail why they are followed, whether there are other practices which contribute to any damage to the public interest, and how price levels are likely to be affected. In both types of case it would be necessary to make provision for the manufacturers and traders concerned to make representations in favour of continuing the practice, if they wished, and for those representations to be examined.

77. Some cases in which it would be in the public interest to ban recommended prices may come to light in the course of investigations by the Monopolies Commission or the National Board for Prices and Incomes into matters referred to them on other grounds, as has sometimes happened already. However, although these bodies provide possible machinery for the necessary investigations, the powers afforded by existing legislation are insufficient for any systematic approach to recommended prices. The monopolies legislation provides for the investigation of practices which in any way restrict competition, and in the context of a Commission report on a reference made under this legislation the Board of Trade

may be able to secure the withdrawal of recommended prices; but the 'conditions' to which the 1948 Act (as amended) applies are unlikely to prevail, or to be easily shown to prevail, in all cases of the kinds that we have discussed. References to the National Board for Prices and Incomes do not have to pass any such test, but neither do they lead to the operation of formal powers. We therefore consider that the Government ought to take power to ban the practice of recommending or otherwise suggesting the prices to be charged on the resale of goods.

78. Broadly there are two alternative approaches to the exercise of such a power. One is to ban the practice generally but to provide for exceptions, putting the onus of proof on the suppliers as in the Resale Prices Act 1964. Few suppliers might think it worth trying to make a case, so that this might amount effectively to a comprehensive ban, which, as we have said, we do not recommend. The alternative, which we recommend, is to ban the recommendation of resale prices only in selected cases after investigation.

79. We consider that it would be virtually impossible to draft a statute defining the circumstances in which the recommendation of prices is prohibited in such a way as to provide a guide to conduct for manufacturers. We therefore think that legislation should enable the Board of Trade to investigate, or to refer to an appropriate body for investigation, the supply of any class of goods (which could, if appropriate, be the products of a specified manufacturer) in which the Board consider that the recommendation of resale prices may operate against the public interest. The power to prohibit the practice of recommending or otherwise suggesting resale prices should be exercisable by the Board after such investigation.

HENRY HARDMAN *(Chairman)*

TIBOR BARNA

H. L. A. HART

BERNARD MILLER

S. A. ROBINSON

L. H. WILLIAMS

B. S. YAMEY

Miss M. DENNEHY *(Secretary)*
12 December 1968